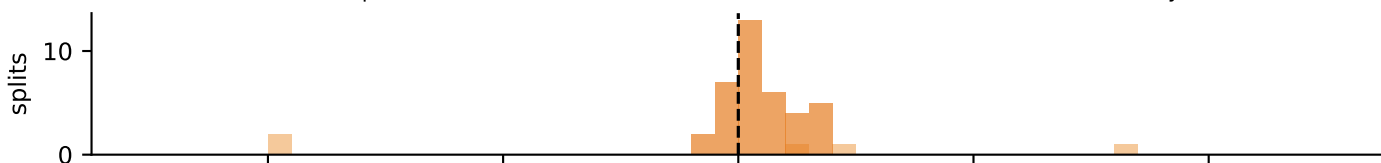
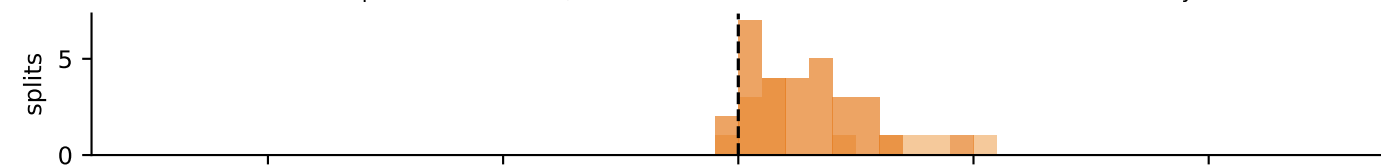


Where the splits land (weekly decisions, edge 0.1)

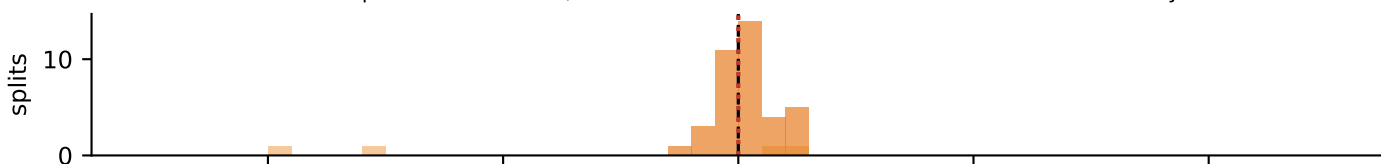
constant volatility, $\lambda = 1$
5 second-level splits in 40 datasets; 0% of the datasets have one within 0.25 of the volatility threshold



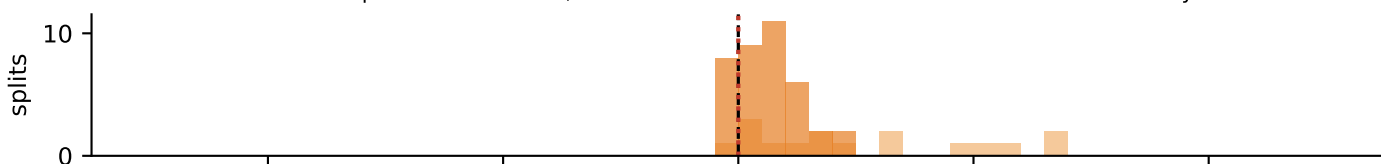
constant volatility, $\lambda = 10$
13 second-level splits in 40 datasets; 20% of the datasets have one within 0.25 of the volatility threshold



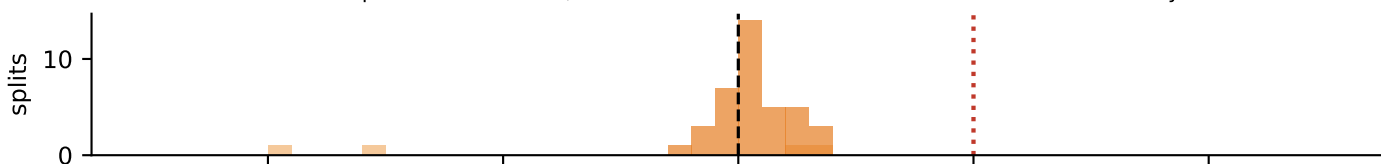
volatility threshold at d, $\lambda = 1$
4 second-level splits in 40 datasets; 5% of the datasets have one within 0.25 of the volatility threshold



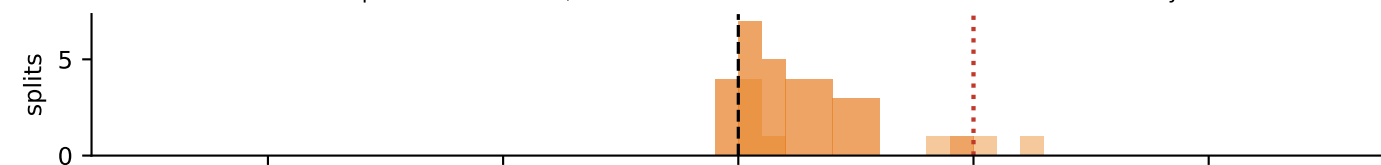
volatility threshold at d, $\lambda = 10$
16 second-level splits in 40 datasets; 12% of the datasets have one within 0.25 of the volatility threshold



volatility threshold at d + 1, $\lambda = 1$
4 second-level splits in 40 datasets; 0% of the datasets have one within 0.25 of the volatility threshold



volatility threshold at d + 1, $\lambda = 10$
8 second-level splits in 40 datasets; 8% of the datasets have one within 0.25 of the volatility threshold



volatility threshold at d + 1, $\lambda = 10$, 20-day covariance
15 second-level splits in 40 datasets; 8% of the datasets have one within 0.25 of the volatility threshold

